

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

1st April 2021

Subject CB2 – Business Economics

Time allowed: 3 Hours 30 Minutes (09.30 – 13.00 Hours)

Total Marks: 100

- Q.1)** Which one of the following statements about real variables in the economy is always TRUE?
- A.** Real interest rates are negative if the nominal interest rate exceeds the expected inflation rate.
 - B.** If nominal Gross Domestic Product (GDP) falls by 10 per cent and the GDP deflator falls by 2 per cent then real GDP has risen.
 - C.** If real wages rise then this must mean that the domestic price level has fallen.
 - D.** If the nominal money stock is constant and the general price level falls then the real money stock will have risen. [1.5]
- Q. 2)** Other things being equal, an increase in the fiscal surplus will lead to a:
- A.** rise in long term interest rates.
 - B.** increase in the money supply.
 - C.** rise in bond prices.
 - D.** none of the above. [1.5]
- Q. 3)** The need to employ workers with certain skills may decline even if the industry as a whole is not in decline. This form of unemployment is called:
- A.** structural
 - B.** demand-deficient
 - C.** regional
 - D.** technological [1.5]
- Q. 4)** If consumption expenditure increases from INR18,000 to INR19,500 when disposable income increases from INR20,000 to INR26,000, then:
- A.** the marginal propensity to consume is 0.25 and the multiplier is 1.33.
 - B.** the marginal propensity to consume is 0.25 and the multiplier is 4.
 - C.** the marginal propensity to consume is 0.75 and the multiplier is 4.
 - D.** the marginal propensity to consume is 0.75 and the multiplier is 1.33. [1.5]
- Q. 5)** Points on the LM curve show combinations of real Gross Domestic Product (GDP) and the interest rate where:
- A.** the product market is in equilibrium
 - B.** the money market is in equilibrium
 - C.** aggregate demand equals aggregate supply
 - D.** both the product and money markets are in equilibrium [1.5]
- Q. 6)** Demand-pull inflation is said to exist when:
- A.** Costs are increasing faster than output
 - B.** The level of aggregate demand is growing faster than the underlying level of supply
 - C.** The prices of imports are rising faster than domestic goods
 - D.** An external event has caused prices to rise e.g. an increase in oil prices [1.5]
- Q. 7)** Which of the following would NOT cause a shift in Aggregate Demand (AD) curve?

- A. A reduction in income tax
- B. A reduction in interest rates
- C. An increase in Government spending
- D. A fall in the cost of production [1.5]

Q. 8) Which of the following is not a phase of the trade cycle?

- A. Boom
- B. Recession
- C. Recovery
- D. Inflation [1.5]

Q. 9) According to the analysis of the British Economist John Maynard Keynes

- A. Government demand could be used to smooth fluctuations in aggregate output and income.
- B. Markets coordinate supply and demand so that a policy of laissez-faire would prevent recessions.
- C. Economic fluctuations were the cumulative result of mistakes made by businesses and households in an uncertain world.
- D. Supply creates its own demand through the circular flow of economic activity. [1.5]

Q. 10) If an economy is on its long run aggregate supply curve:

- A. It is operating on its Production Possibility Frontier
- B. There is a low rate of unemployment
- C. The output gap is at its highest.
- D. Aggregate demand has increased [1.5]

Q. 11) Which of the following is an economic definition of improvement in productivity?

- A. An increase in output per unit of input
- B. An increase in the total amount a firm can produce
- C. An increase in the rate of growth of marginal product
- D. An increase in economies of scale over time [1.5]

Q. 12) Cuts in the rate of corporation tax are designed to do each of the following except:

- A. Boost employment
- B. Encourage Investment
- C. Reduce the budget deficit
- D. Encourage Foreign Direct Investment [1.5]

Q. 13) The rate of inflation for an economy is running above target and the economy is experiencing a positive output gap. Which of the following policies might reduce both the rate of inflation and the positive output gap?

- A. A Rise in the amount of Quantitative Easing done by the Central bank
- B. A rise in the Government spending
- C. A rise in Interest rates

D. A rise in the value of currency

[1.5]

Q. 14) The main choices that must be made by a society in the face of scarcity are:

- I. How is total national income going to be distributed
- II. Assigning limited resources for the needs of the society
- III. Producing excess goods and services to fulfill human wants

Which of the statements given above is/are correct?

- A.** (I) and (II)
- B.** (I) and (III)
- C.** (II) and (III)
- D.** Only (III)

[1.5]

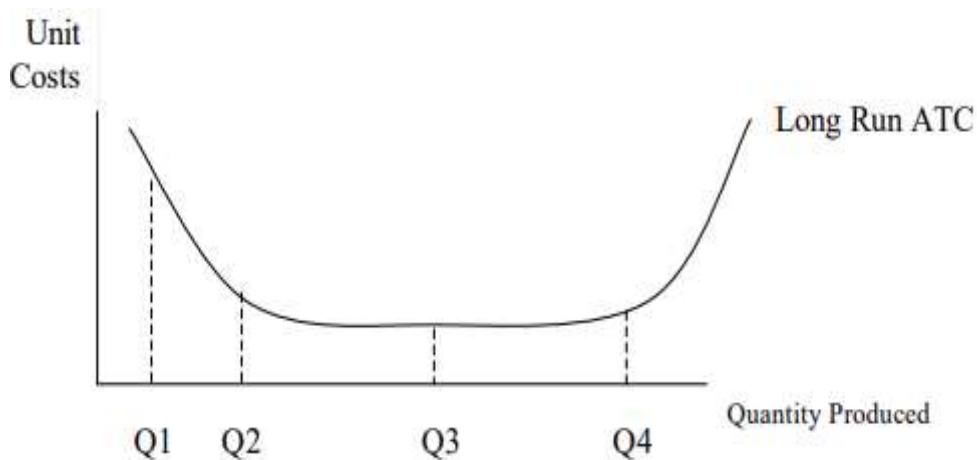
Q. 15) The opportunity cost of holding cash is the:

- A.** Interest rate on short term deposits of 5% p.a.
- B.** Interest rate of bonds
- C.** Inflation rate of the market
- D.** Interest rate of 5% foregone by not holding short term deposits

[1.5]

Q. 16) In the following graph minimum efficient scale occurs at

- A.** Q1
- B.** Q2
- C.** Q3
- D.** Q4



[1.5]

Q. 17) The short run supply curve in perfectly competitive market is its:

- A.** Average cost curve
- B.** Vertical sum of the individual firms' average variable cost curves
- C.** horizontal sum of the individual firms' marginal cost curves
- D.** marginal cost curve above the lowest point of the average total cost curve

[1.5]

- Q. 18)** “Production is the source of demand” is also known as:
- A. Gold’s Law
 - B. Austrian Law
 - C. Say’s Law
 - D. Quantity Law
- [1.5]**
- Q. 19)** Bus travel is considered as an inferior good. A rise in income level of consumer when the supply curve of the good is positively sloped will cause which one of the following?
- A. The demand for bus travel to fall and the price for bus travel to rise.
 - B. The demand for bus travel to fall and the price for bus travel to fall.
 - C. The demand for bus travel to rise and the price for bus travel to rise.
 - D. The demand for bus travel to rise and the price for bus travel to fall.
- [1.5]**
- Q. 20)** The degree of market power enjoyed by a firm depends on :
- I. The degree of brand loyalty for the product
 - II. Perfect elasticity of demand of the product
 - III. Consumer’s rational behaviour to find substitute of the product
- Which of the statements given above is/are correct?
- A. (I) and (II)
 - B. (I) and (III)
 - C. (II) and (III)
 - D. Only (III)
- [1.5]**
- Q. 21)** Which of the following assumption about Perfect Competition market structure is false?
- A. The firm has some control over price that it sets.
 - B. In the long run, each firm will find that its marginal cost is equal to its average cost of production.
 - C. The firm exhibits demand curve parallel to horizontal axis.
 - D. The firm produce homogeneous products.
- [1.5]**
- Q. 22)** “The strategy in which the organization is not influenced by strategies of other rival organizations.” This is a description of which type of strategy?
- A. Trigger strategy
 - B. Dominant strategy
 - C. Hit and run strategy
 - D. Maxi-min strategy
- [1.5]**
- Q. 23)** Which of the following is not an example of economies of scope?
- A. Shared marketing
 - B. A firm introduces new products and in so doing reduces average cost of producing its existing products
 - C. A firm doubles its inputs of capital and labour and its output more than doubles

D. A firm doubles number of products and can spread overheads across the range

[1.5]

Q. 24) Goods A and B are complementary goods. An increase in price of A will cause:

- A.** Shifting of demand curve of B to the left and equilibrium price and quantity both Decrease
- B.** Shifting of demand curve of B to the right and equilibrium price and quantity both Decrease
- C.** Shifting of demand curve of B to the left and equilibrium price and quantity both Increase
- D.** Shifting of demand curve of B to the right and equilibrium price and quantity both Increase

[1.5]

Q. 25) Which of the following statements is FALSE about a risk averse person?

- A.** He values the possible monetary loss from an outcome higher than an equal possible gain
- B.** He will be willing to take risk if expected return from it is sufficiently high
- C.** He will avail insurance to reduce risk
- D.** He will value an incremental gain in wealth more than the same incremental decrease in wealth.

[1.5]

Q. 26) The quantity demanded for Good A falls from 1000 units per week to 800 units per week when the price rises from USD 20 to USD 21. Which one of the following statements is FALSE?

- A.** The price elasticity of demand for Good A is -4 .
- B.** Good A has downward sloping demand curve.
- C.** Demand for Good A is elastic.
- D.** Good A is likely to have very few substitutes.

[1.5]

Q. 27) i) Explain the difference between the law of diminishing returns and the law of diminishing marginal utility.

(2)

ii) Explain how behavioural economics differs from traditional economics.

(2)

[4]

Q. 28) i) What is a by-product?

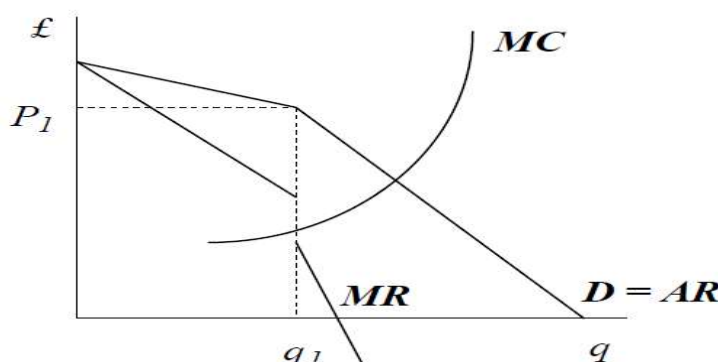
(1)

ii) There are a number of by-products produced during extraction of oil. Explain how a profit maximizing oil company ought to determine the price of a by-product.

(3)

[4]

Q. 29)



i) State the name of the market structure to which the above demand model applies.

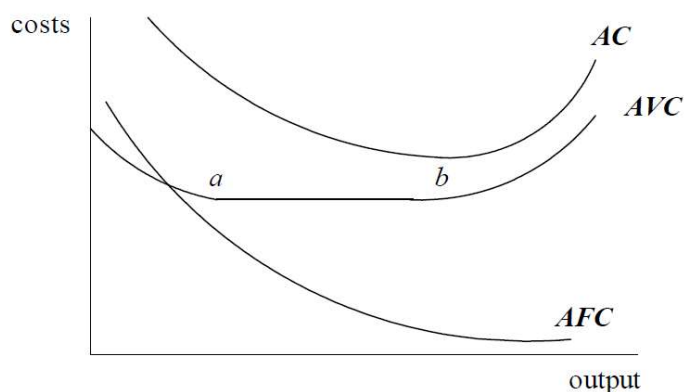
(1)

- ii) With the help of diagram, explain how the price stability is achieved in this market structure stating the relevant assumptions.

(6)

[7]

Q. 30)



The above diagram shows short run average cost curves of a firm which uses cost based pricing.

- i) Explain with the help of given diagram how the firm decides price under cost based pricing. (5)

- ii) List the factors that affect the mark up used under cost based pricing. (4)

[9]

Q. 31) Outline how a Government can encourage the population to participate in healthcare schemes.

[5]

Q. 32)

- i) Economists are often critical of trade protection because it worsens the allocation of resources and imposes a variety of costs on the domestic and the global economy. Explain the following terms with respect to trade protection:

- a) Tariffs (1)
- b) Quotas (1)
- c) Subsidies (1)
- d) Administrative Barriers (2)

- ii) In the table given below, indicate who gains and who loses from the imposition of a variety of protectionist measures in international trade. Use (G/+) to denote a gain, (L/-) to denote a loss, (N/x) to indicate no impact.

S. No.	Impact on	Tariffs (a)	Quotas (b)	Subsidies (c)	Administrative barriers (d)
1	Consumers				
2	Producers				
3	Employment (workers)				
4	Government				
5	Tax Payers				
6	Income Distribution				
7	Efficiency in Production				
8	Society as a whole				
9	Foreign Producers				
10	Global Resource allocation				

(Note: The students need not create answer in tabular format, they can write in line format, e.g.

S. No. 1- Consumer

- a
- b
- c
- d

S. No. 2- Producer

- a
- b
- c
- d)

(10)

[15]

Q. 33) Automatic stabilisers are factors that automatically, without any action by Government authorities, work towards stabilising the economy by reducing the short-term fluctuations of the business cycle. Explain how the progressive tax system and unemployment benefits automatically help stabilise short-term fluctuations.

[4]

Q. 34) i) Outline the role of the balance of payments.

(2)

ii) Assume America exports \$25,000 of corn to Japan. How shall this transaction be recorded in the balance of payments?

(2)

iii) What are the components of Current account in Balance of payments?

(4)

[8]

Q. 35) Discuss the strengths and weaknesses of monetary policy

[5]
